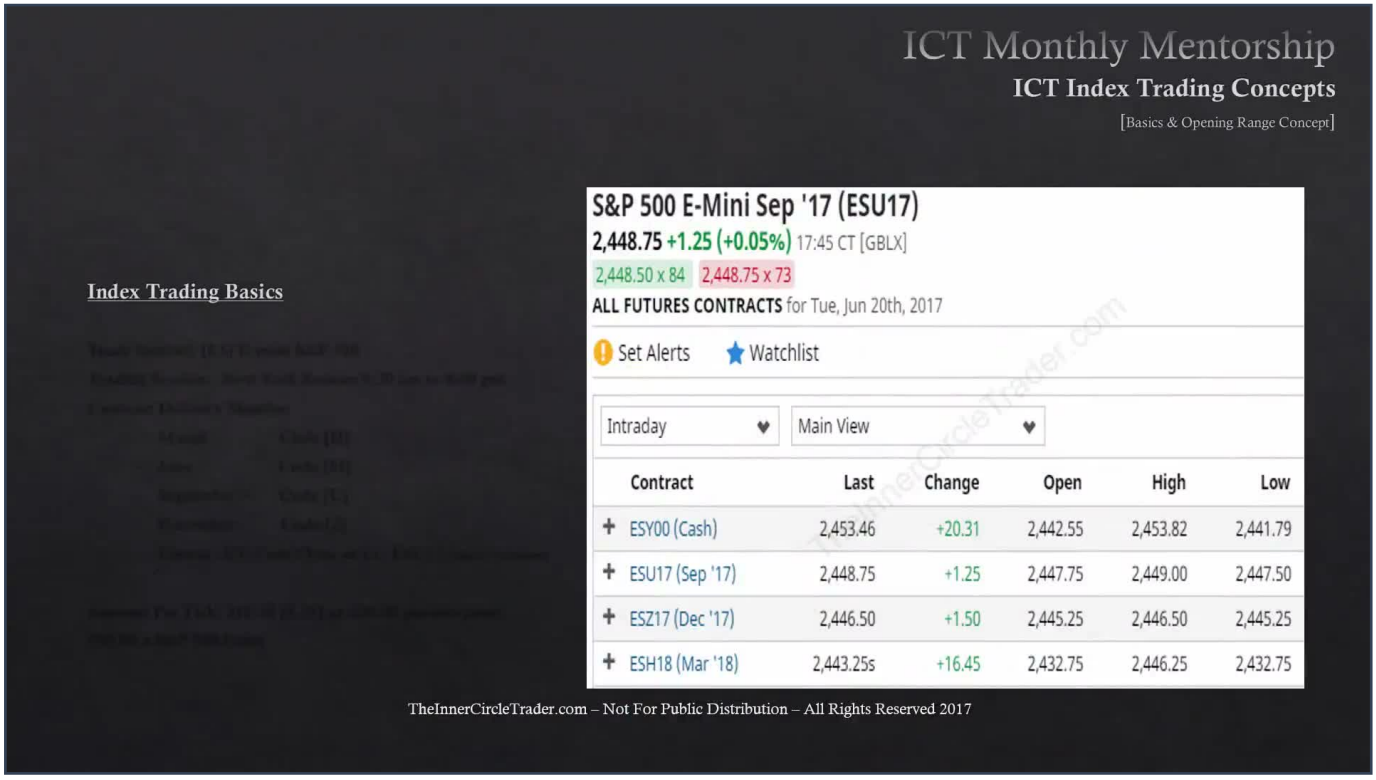
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - INDEX FUTURES - BASICS & OPENING RANGE CONCEPT

Welcome back to the continuing series of the major four asset classes. This lesson will focus on Index Futures Trading.

It is important to remind you again to please take the time to read the disclaimers. Everything discussed as it relates to Index Futures should be viewed in light of paper trading only.

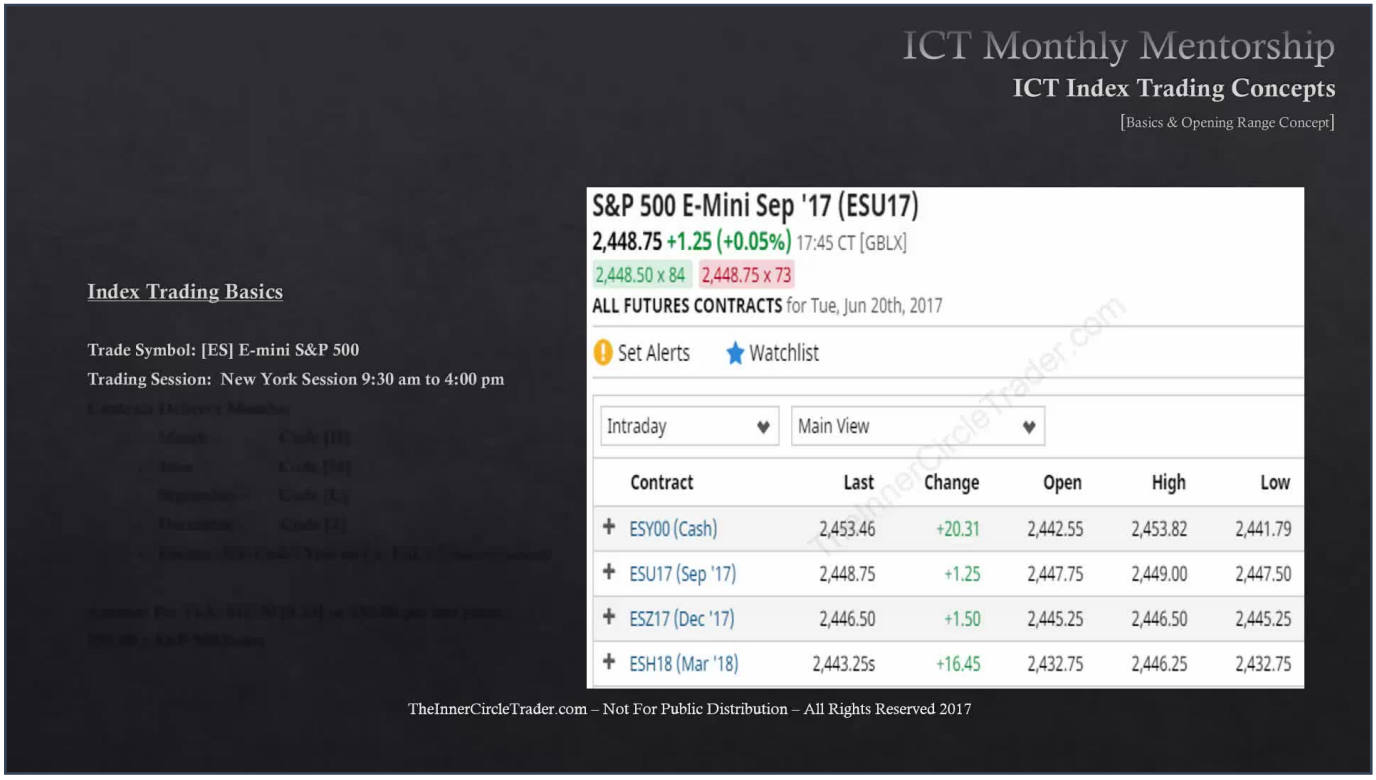
This is the June 2017 ICT Mentorship, ICT Index Trading Concepts, Lesson One: Basics and Opening Range Concept.



We will be focusing primarily on the E-mini S&P for this introduction, but will briefly cover other indices.

Key details for the E-mini S&P:

- Trade Symbol: ES, which stands for the E-mini S&P 500.



The primary trading session we will be focusing on is the New York session, specifically keying on the 9:30 AM to 4:00 PM New York time.

E-MINI S&P (ES) CONTRACT DELIVERY MONTHS AND FORMAT

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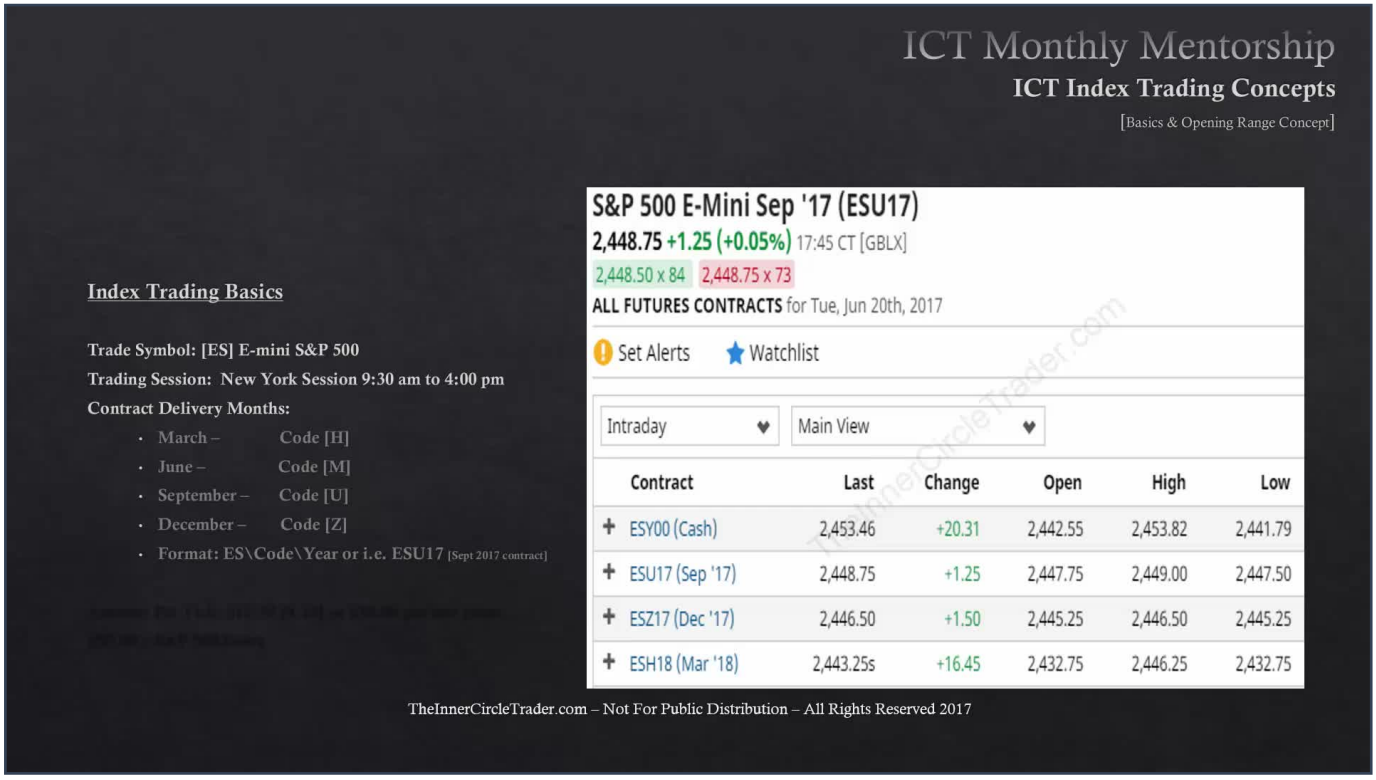

The contract delivery months for the E-mini S&P are:

- March (code H)

- June (code M)

- September (code U)

- December (code Z)

The format for the contract code is ES + Month Code + Year. An example would be ESU17 for September 2017's contract of the E-mini S&P.

E-MINI S&P (ES) TICK VALUE AND LEVERAGE

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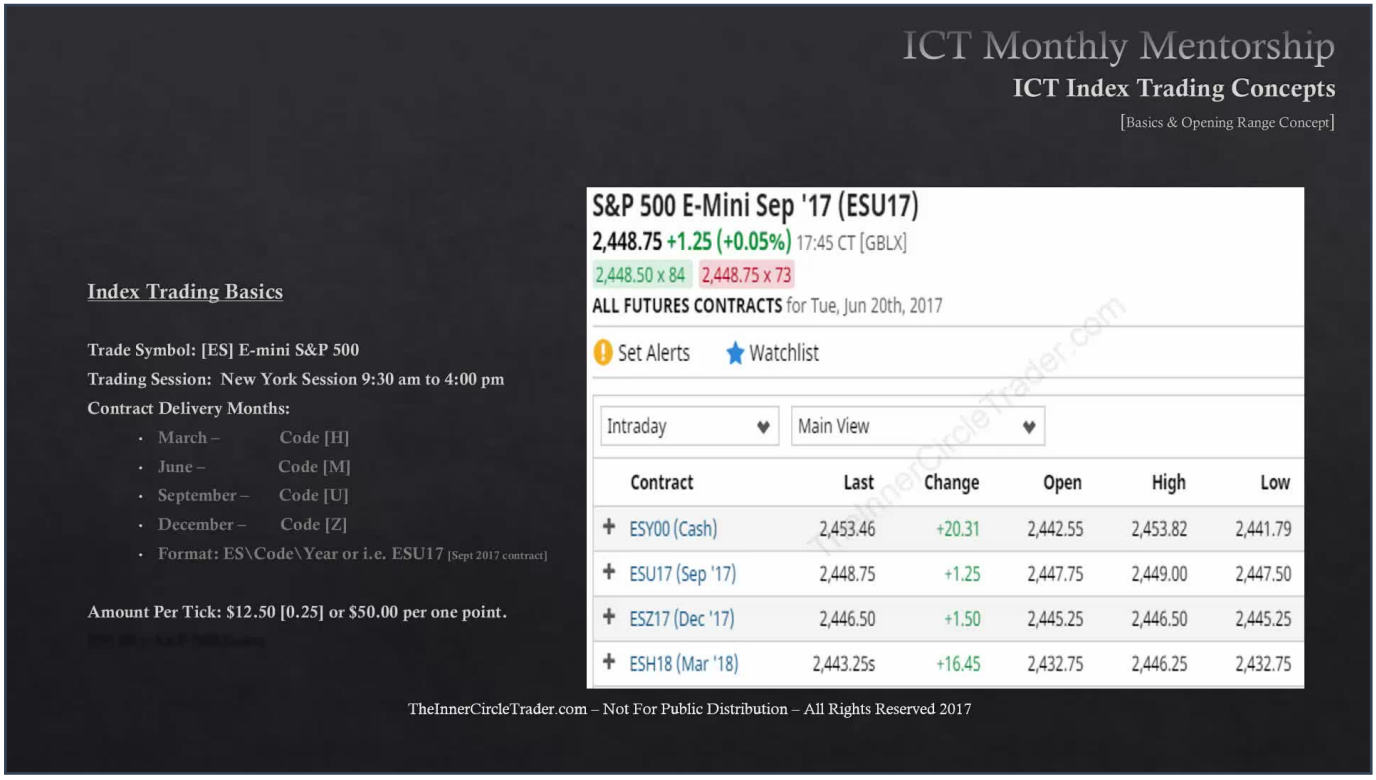

Key financial values for the E-mini S&P:

- Amount per tick: $12.50

- One quarter of one point equals one tick.

- Four ticks make one point, or $50.00 per one point.

Your leverage is seen by $50.00 times the S&P 500 Index at the time of the day's close. As of this recording, it represents about $122,000.00 leveraged.

UNDERSTANDING 'SPOOS' TERMINOLOGY

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00:02:14

'Spoos' is a slang name, referred to back in the 1980s (specifically 1983 for those less than 30 years old), for S&P 500 trading.

SPOOS OPENING RANGE CONCEPT - HIGHEST VOLUME AND TRUE DAY

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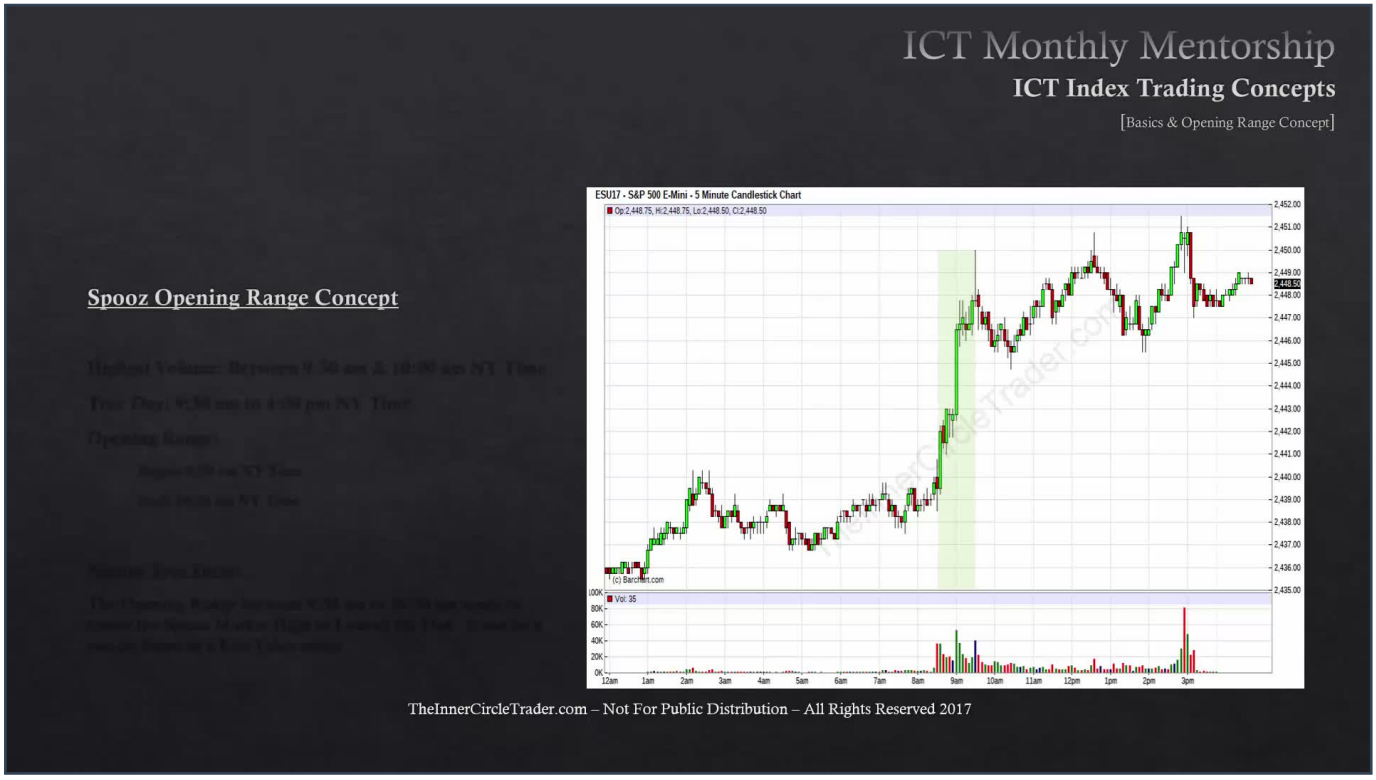
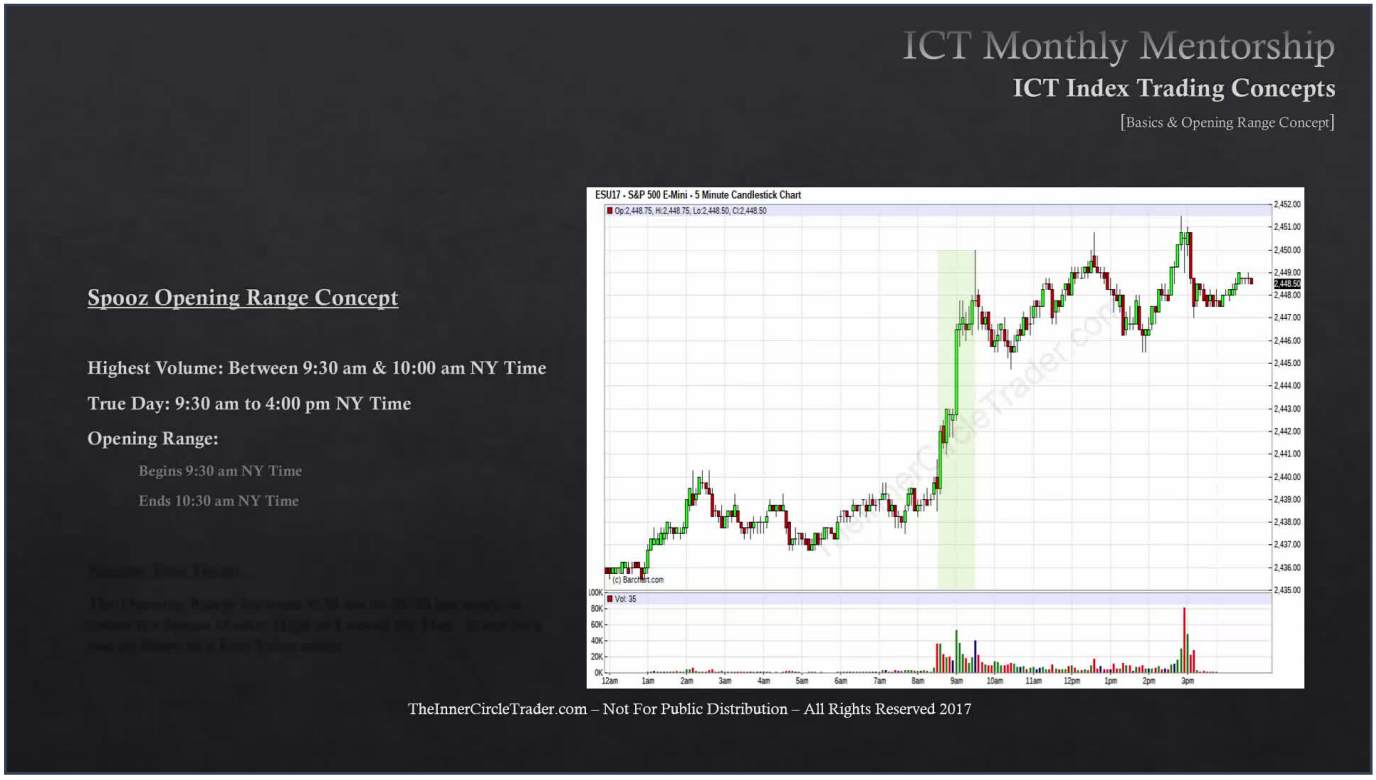
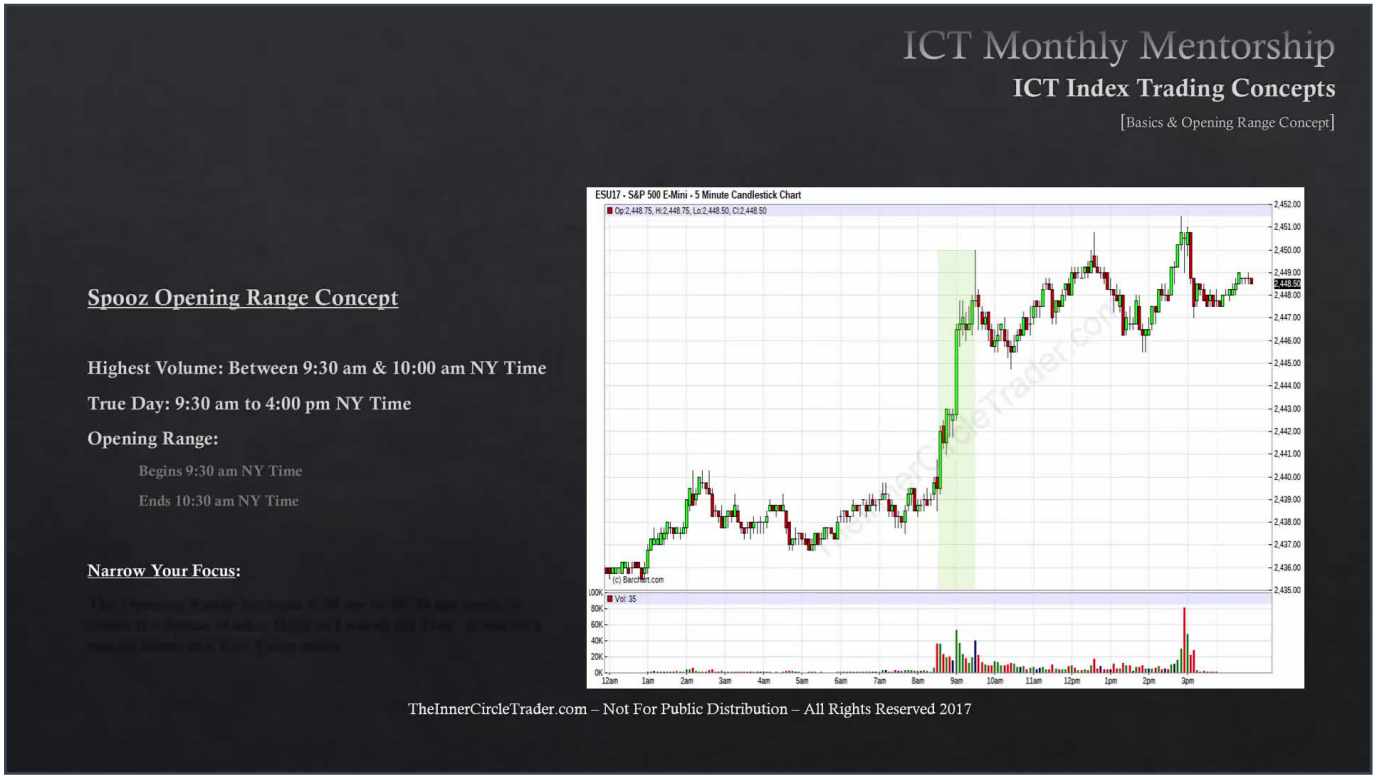


The highest volume for S&P trading is typically seen between 9:30 AM and 10:00 AM New York time. This 30-minute span generally kicks off with a surge of the highest volume right at the opening.

The true day for Spoofs is viewed as 9:30 AM New York time to 4:00 PM New York time. While the market trades 24 hours, we will focus primarily on the New York session for day trading.



The Opening Range is seen beginning at 9:30 AM New York time and ends at 10:30 AM New York time. This constitutes an Opening Range of one hour.



We will be narrowing our focus to the Opening Range between 9:30 AM to 10:30 AM, which tends to create the Spoofs market high or low of the day. This can be a run on stops or a fair value setup.

OPENING RANGE VISUALIZATION - TIMEZONE CONSIDERATION

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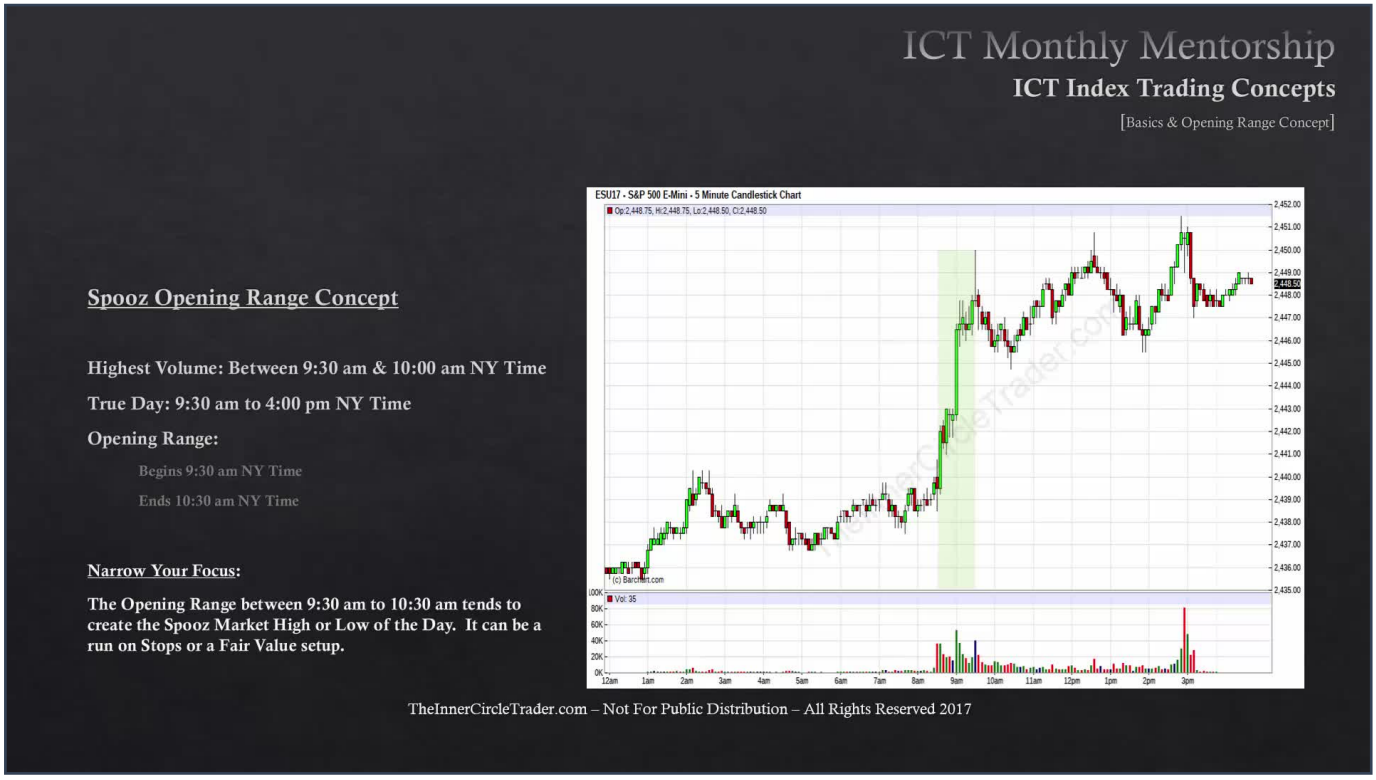

In chart examples (e.g., from barchart.com), the shaded area represents the one-hour Opening Range. It is important to note that these charts might be shown in Central Time, which is an hour earlier. Therefore, 8:30 AM to 9:30 AM Central Time refers to 9:30 AM to 10:30 AM New York Time (East Coast time in the U.S.).

The true day begins at 9:30 AM New York time and ends at 4:00 PM New York time.

OPENING RANGE EXAMPLE 1 - S&P 500 ES 15-MINUTE CHART ANALYSIS

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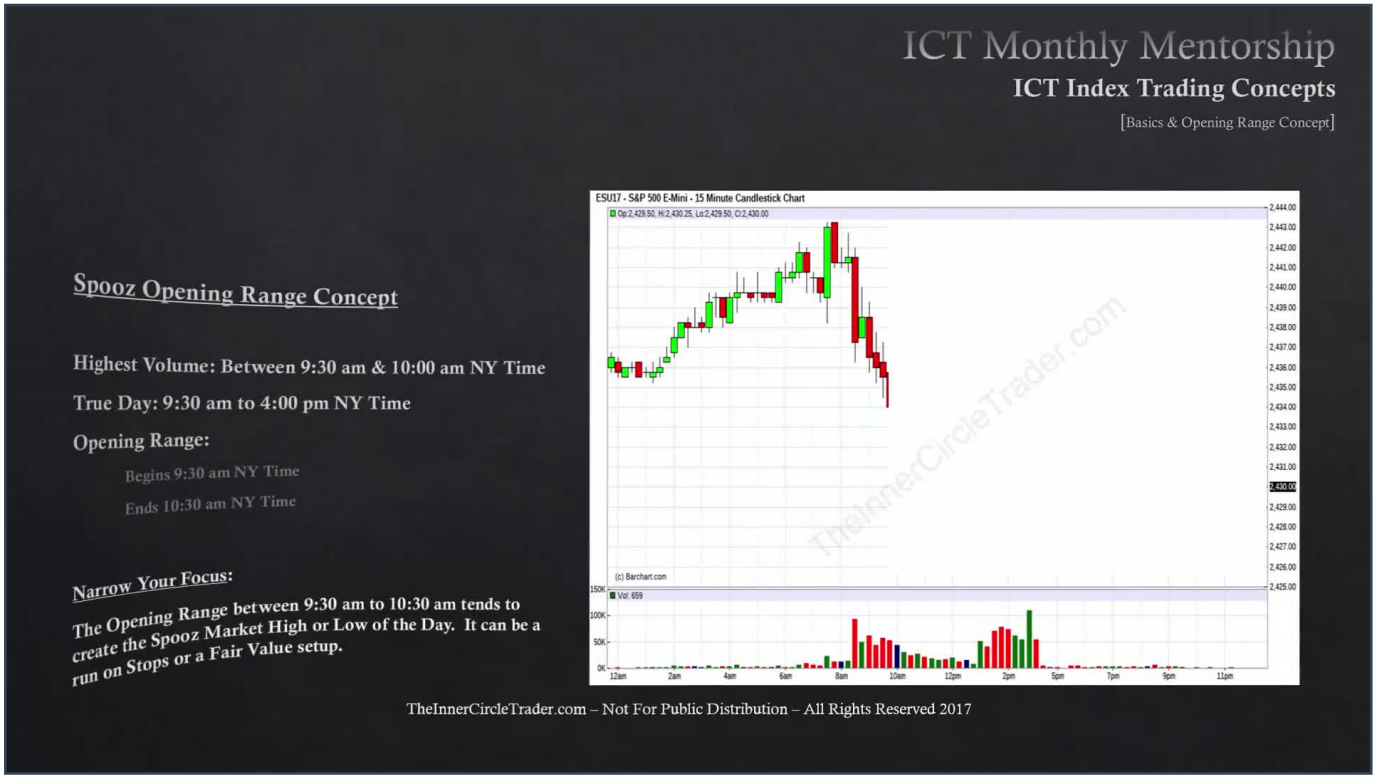
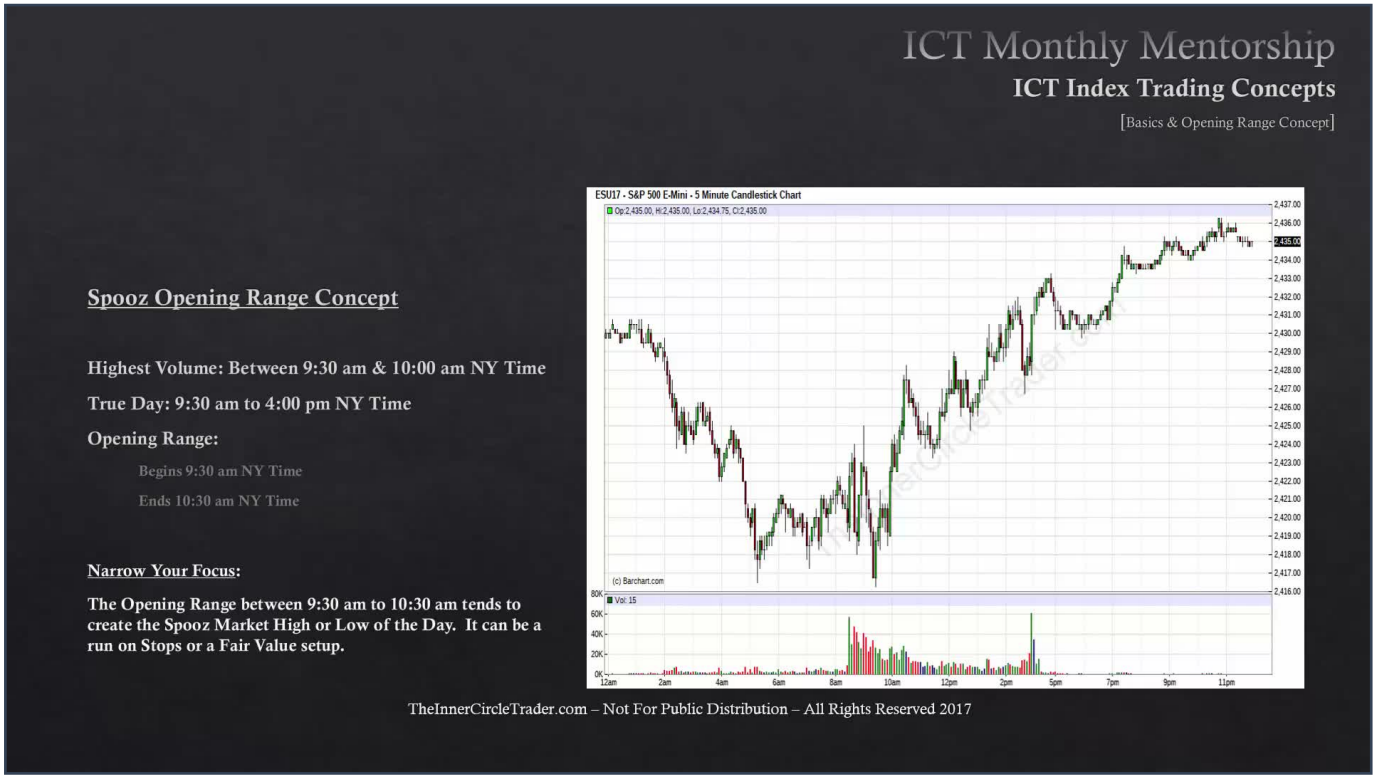


This example uses an S&P 500 E-mini S&P September 2017 contract on a 15-minute candlestick chart. The Opening Range is delineated from 9:30 AM to 10:30 AM New York time. You can observe the volume is highest during this portion of the day.

Within the Opening Range, we can see a return back inside a previous up-closed candle or 'bullish order block'. Later, price can be seen trading up to a reference point inside the Opening Range for a later short transaction.

OPENING RANGE EXAMPLE 2 - S&P 500 ES 5-MINUTE CHART BULLISH ORDER BLOCK



On a different day, looking at the E-mini S&P September contract on a 5-minute chart, the Opening Range is again 9:30 AM to 10:30 AM New York time (8:30 AM to 9:30 AM on barchart.com in Central Time).

Key observations:

- There is our Opening Range with the highest volume.

- The Opening Range high and low are established.

- Inside the Opening Range, there is a return back to a 'bullish order block', which is the last down-closed candle. This occurs right before the 11:00 AM hour New York time (or 10:00 AM on the barchart.com chart), leading to a rally.

OPENING RANGE EXAMPLE 3 - S&P 500 ES EXTENDED RANGE AND TURTLE SOUP

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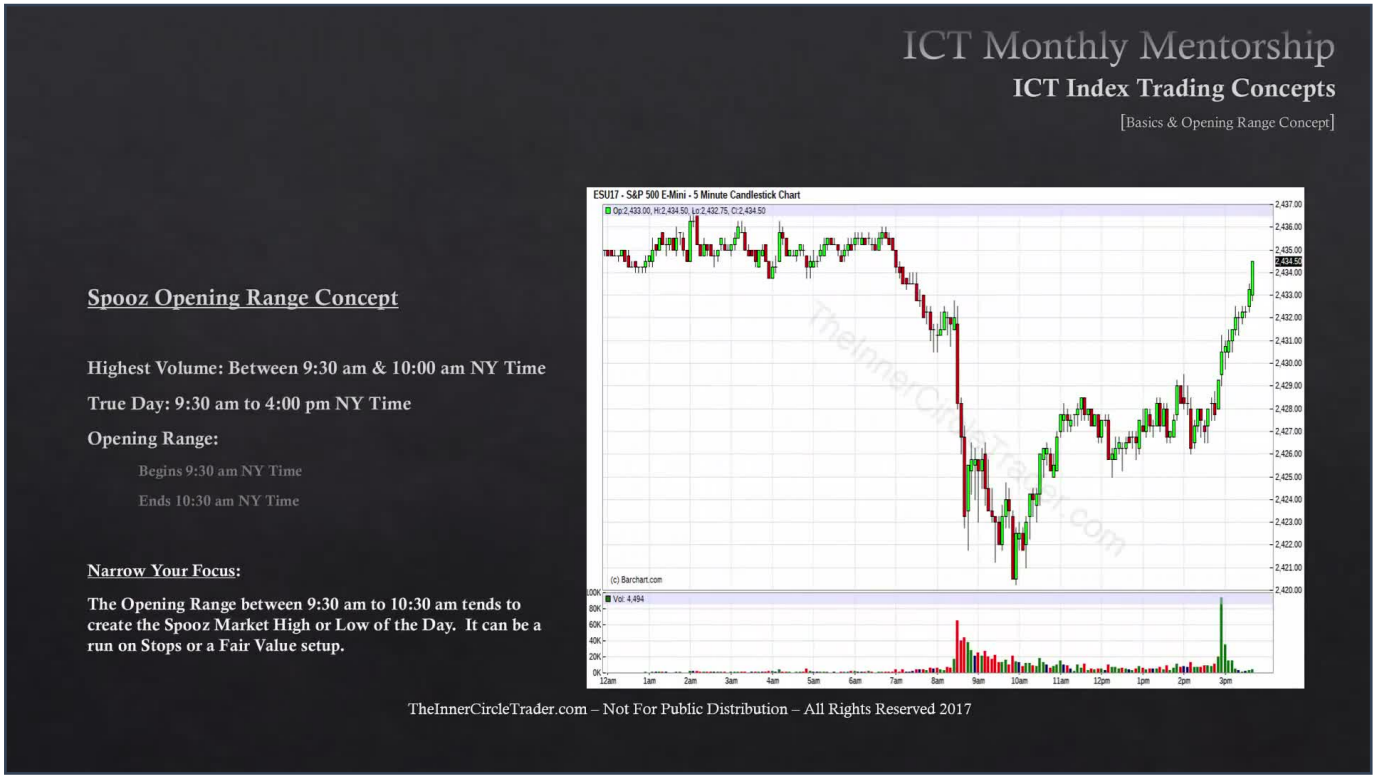


Another example on a 5-minute chart for the E-mini S&P September 2017 contract shows the 9:30 AM to 10:30 AM Opening Range with the highest volume during that period.

Key observations:

- We see the high and low of the Opening Range.

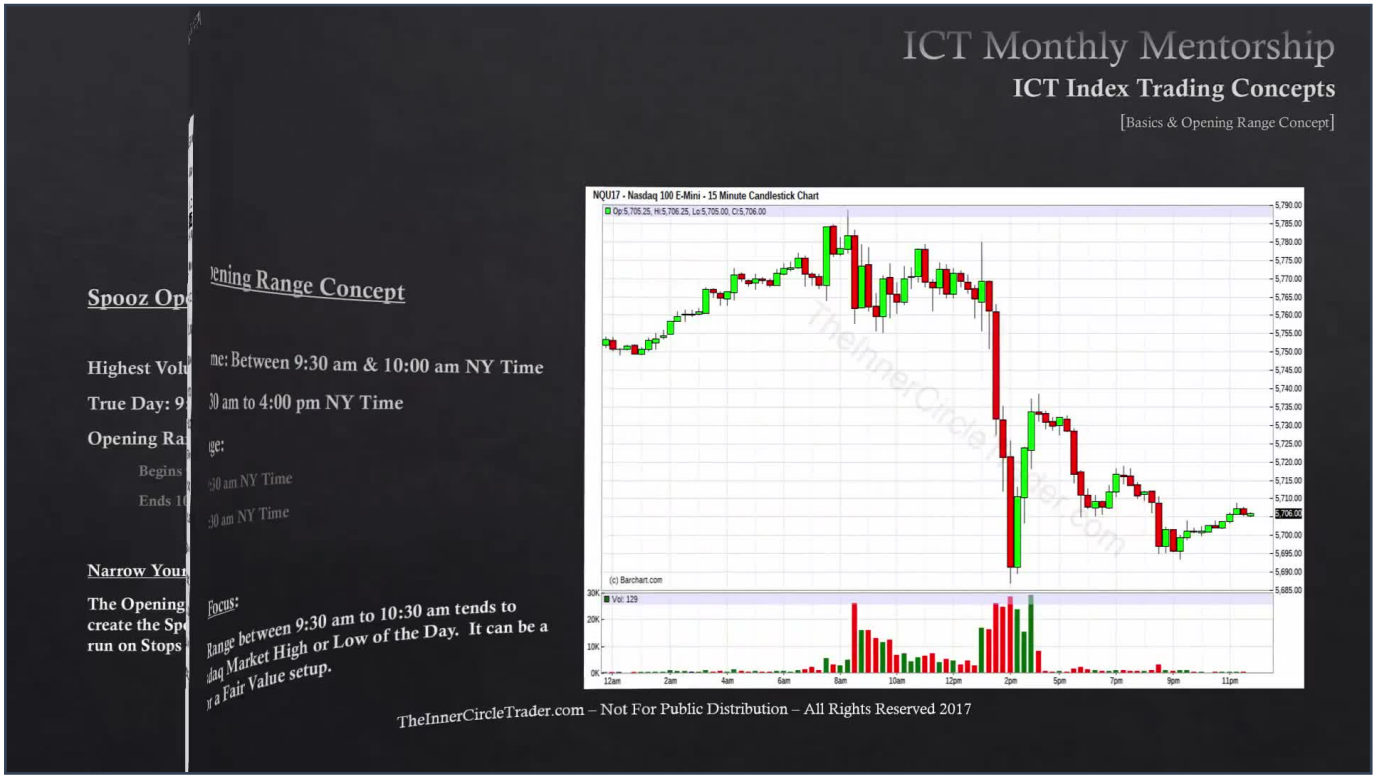
- Notice it is an 'extended range', not a small range. When we have an extended range, we generally look for the higher or the low to be violated later in the day.

- If it's going to be a bullish day, we look for that upper end of the Opening Range to be violated or traded to.

- Conversely, if it's a sell-off day and we had a move primarily moving up during the Opening Range, we would look for the Opening Range low to be retraded to if we are bears.

- The extension or long wide ranges in the Opening Range for Spoofs will give us a range to reach back into and look for stops on the opposite end.

- In this case, we have a run below it, a 'Turtle Soup' right below the Opening Range later in the morning. We have Turtle Soup, then a rally, and it reaches all the way back to the Opening Range High to run the stops that were seen during the Opening Range.



The other indices that are followed include the NQ or NASDAQ E-mini futures. The Opening Range for NASDAQ is the same:

- 9:30 AM to 10:30 AM New York time.

- High volume is observed during that morning period.

- The high and low end of the Opening Range are established.

The true day for the NASDAQ E-mini futures is the same as ES, starting at 9:30 AM and closing at 4:00 PM New York time.

NASDAQ (NQ) OPENING RANGE EXAMPLE - BEARISH ORDER BLOCK

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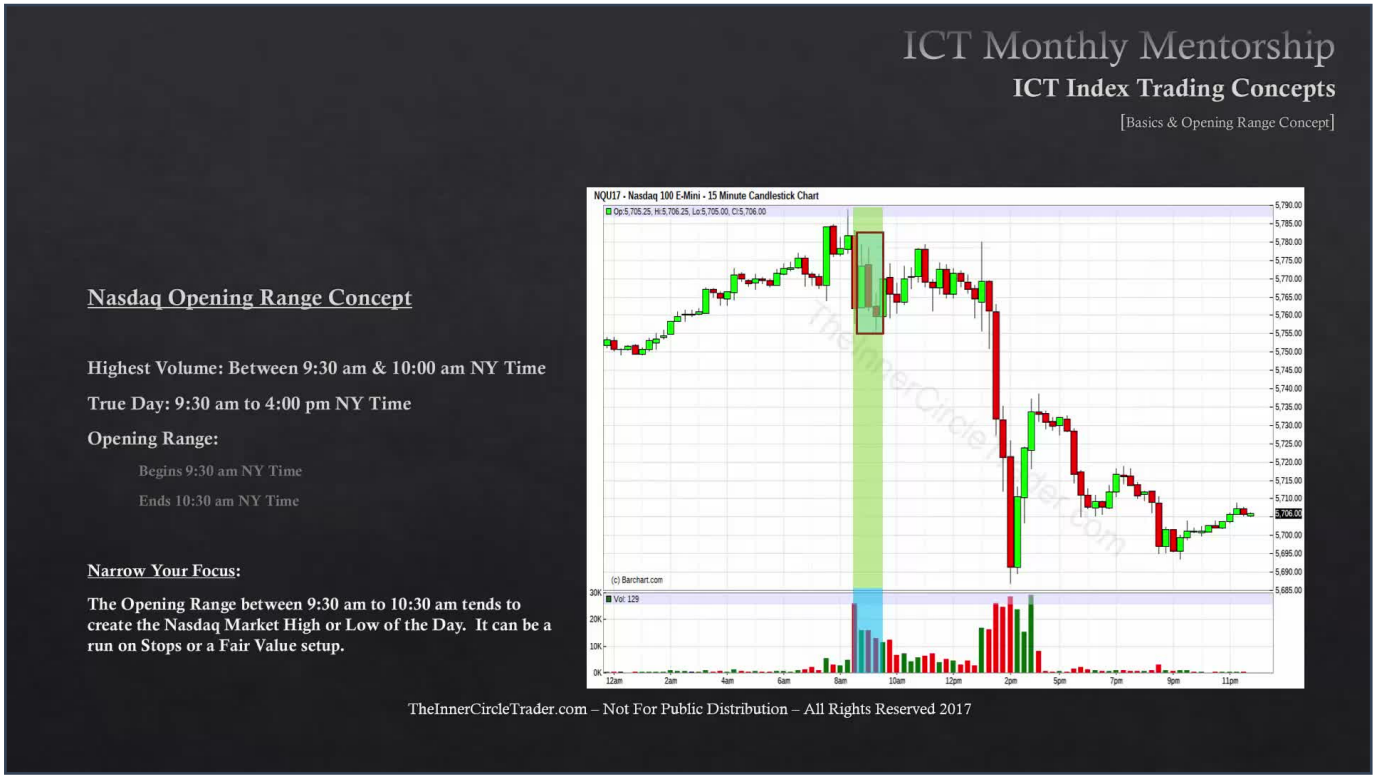


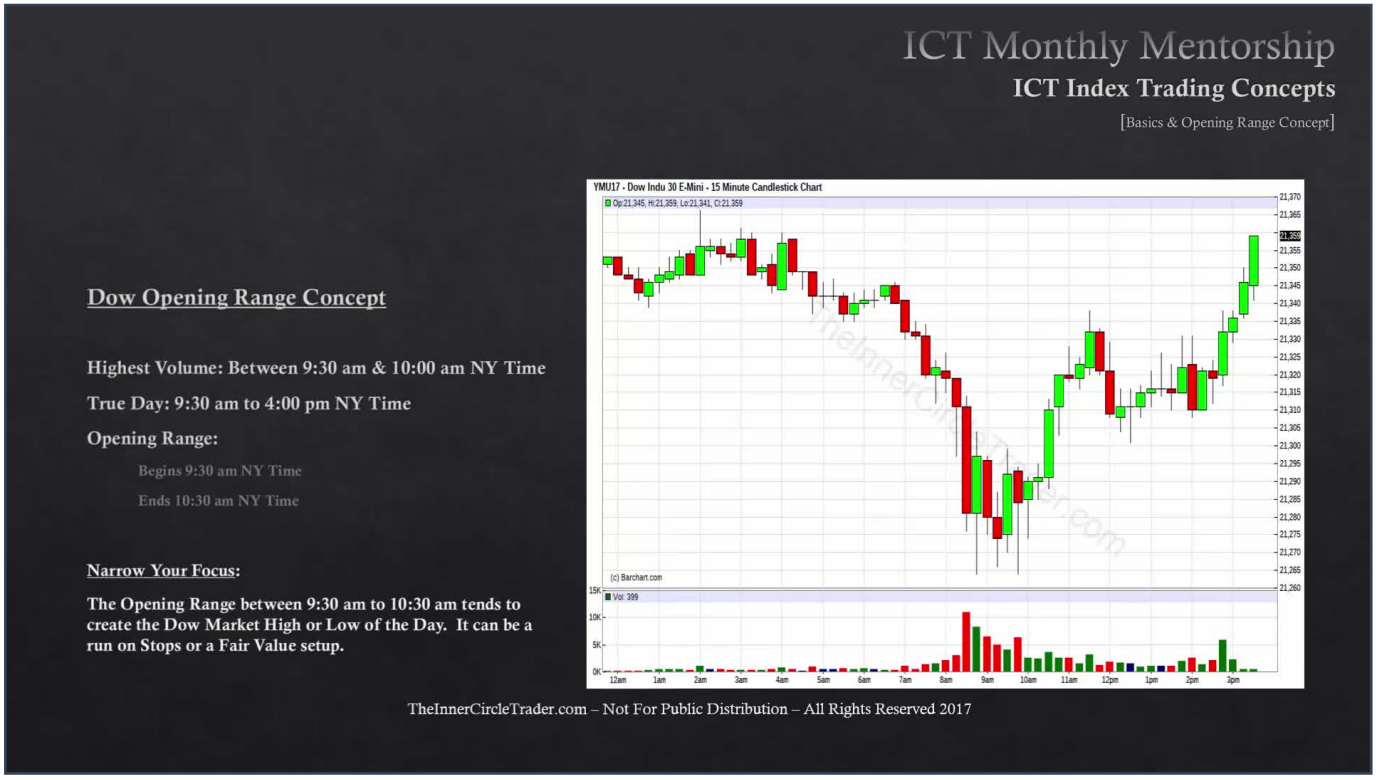
Inside the NASDAQ Opening Range, we can look for reference points.

Key observations:

- There is a 'bearish order block' that price can return back into, which is prior to the Opening Range. However, we also have a 'rejection block' just below it with the last up-closed candle inside the Opening Range.

- This rejection block could be used for the facilitation of a short.

- This same reference point is used later on in the day for a dramatic sell-off, leading to a short opportunity.



The other index followed is the Dow Mini Future (YM). The Opening Range for the Dow Mini is also the same:

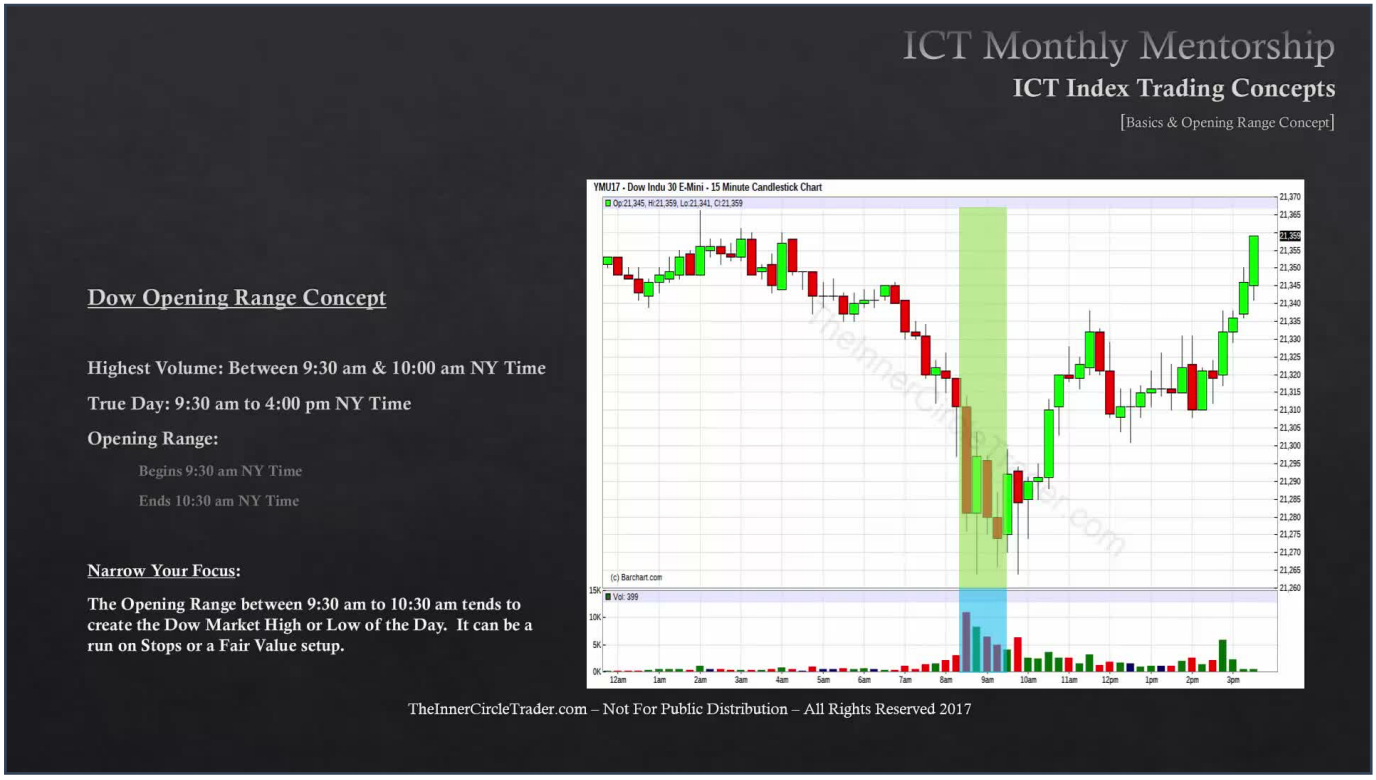
- 9:30 AM in the morning New York time to 10:30 AM in the morning New York time.

Key volume observations:

- The largest volume is typically during that morning, specifically the first 30 minutes from 9:30 AM to 10:00 AM, which has the largest volume of the day for the morning session.

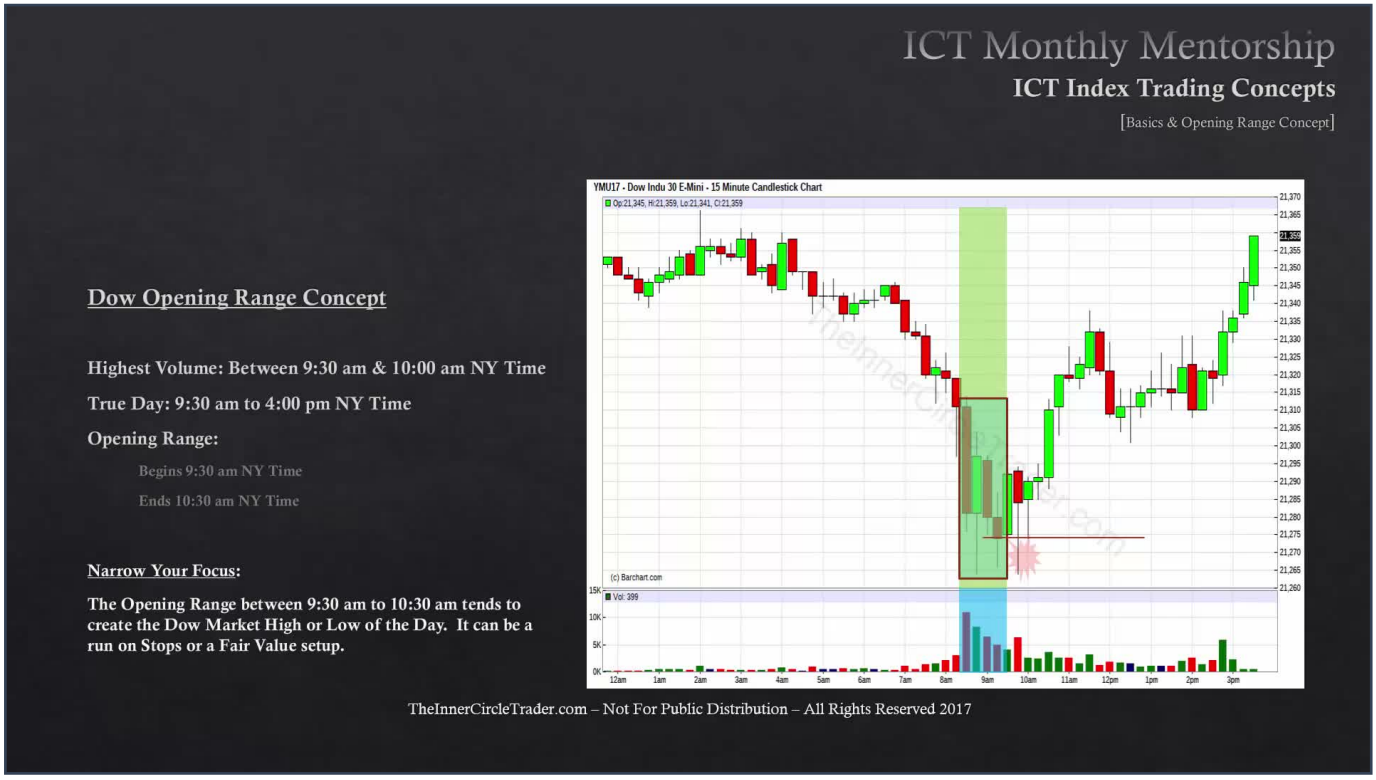
- This usually creates the high or low of the day.

DOW MINI (YM) OPENING RANGE EXAMPLE - REJECTION BLOCK AND LOW OF DAY



In this Dow Mini example, price traded down from overnight, making the low of the day. We have our Opening Range high and low. Inside that, we can look for a 'rejection block', which is the lowest close down-closed candle. Price trades back into it later in the morning, creating the rejection.

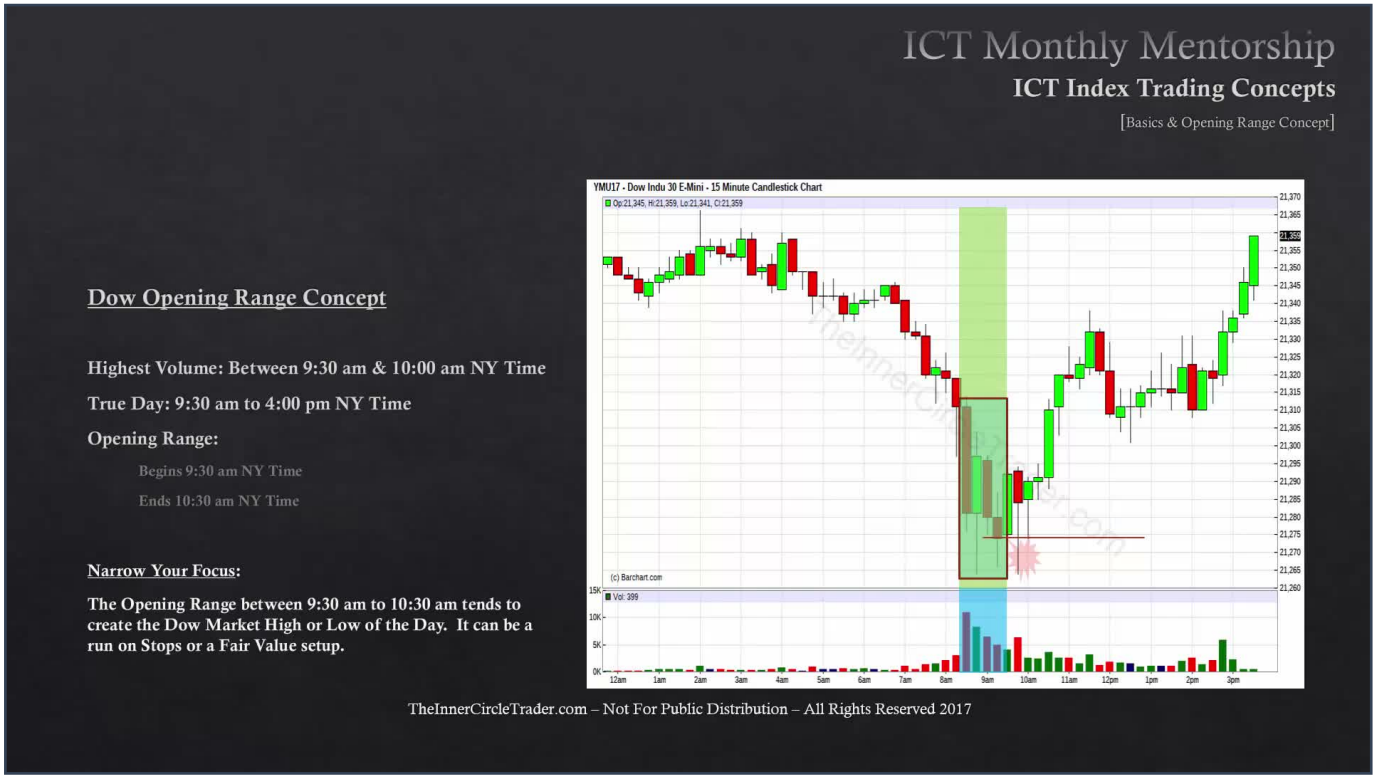
Notice that the wick that went down failed to go lower than the low formed in the Opening Range.



The volume bar that makes the low of the day inside the Opening Range is the high green volume bar. Then we have a second attempt to trade down below 2165, but it does so with lower volume (the red volume bar).

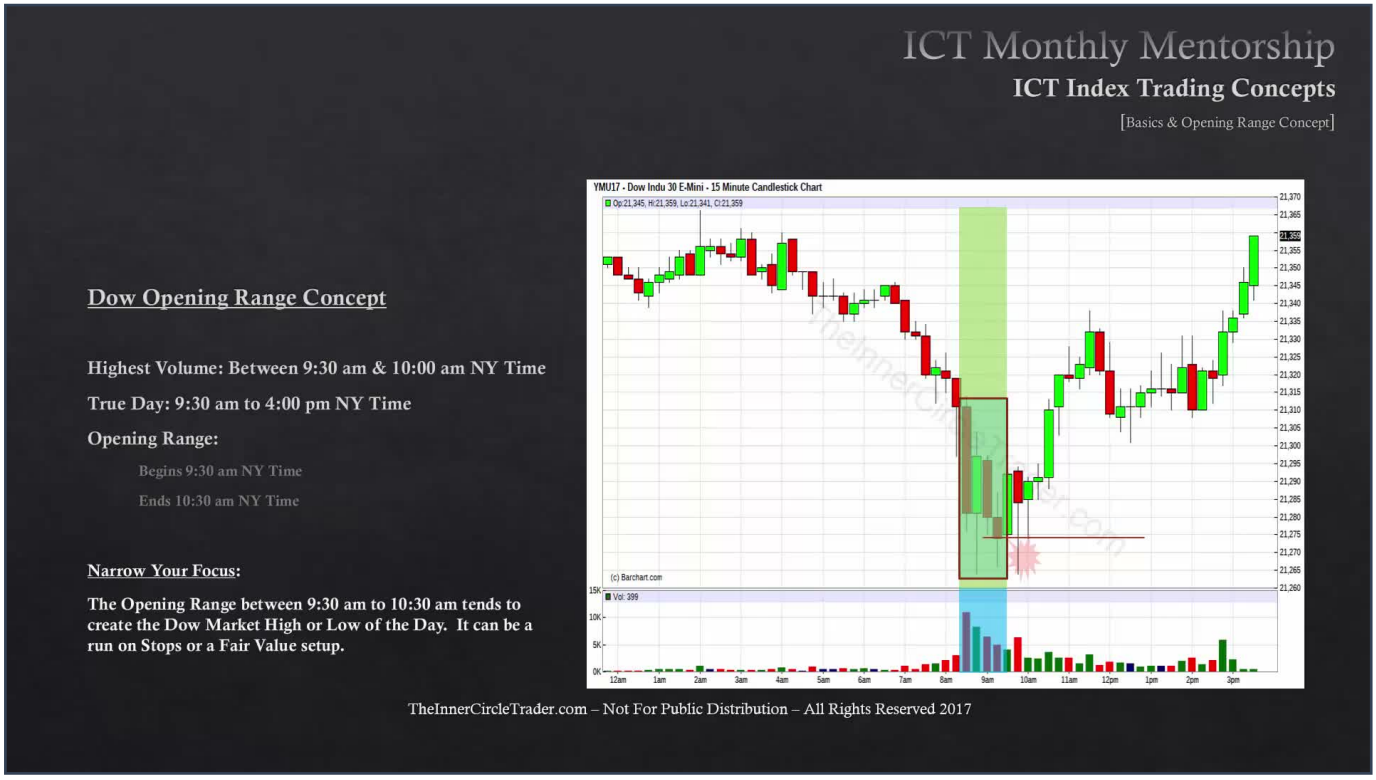
This indicates: 'not enough volume, it's weak'. As mentioned in the commodity section, where futures in bonds and regular commodities show that volume precedes price, if we are going to be making a lower low or retesting an old low or old high, it should be seen with higher volume. If it's not, then volume is preceding price in the sense that it's not as strong as one would otherwise look for.

Trading back down there at the time, that wick was a bold bearish candle and would otherwise have been very scary to see. But when that candle closed, the volume for that particular candle did not register the equivalent to what was seen in the low of the day earlier during the Opening Range. So that rejection block seen here did not see a higher run in volume, and it was eventually rejected, and price traded higher on the day.



When looking at indices and trading them, we can analyze them on an individual basis as shown. We will also start blending them together to get stronger signals and directional bias. We will also look for specific times of day unique to trading indices.

This introduction primarily focuses on the Opening Range. It is a 60-minute Opening Range from 9:30 AM to 10:30 AM New York time. However, the first 30 minutes (9:30 AM to 10:00 AM) are also important, and we will build on that idea when discussing 'trading the AM trend'.



When the Opening Range idea is defined, and we have bias and institutional order flow (also referred to on higher time frames), the Opening Range will provide support and resistance levels that other traders would not be aware of.

There is a very specific relationship to the first hour's range high and low and the first 30 minutes' high and low, as will be seen in the next teaching: 'Trading the AM Trend'. Until then, good luck and good trading.